

China Biopharma Industry Quarterly Data

Briefing — Q2 2026

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Next Issue: Q3 2026 (expected November 2026)

What's Inside

本期关键词

Biopharma industry scale hits RMB 10.66 trillion in 2026E

H1 BD deals reach \$110B — 80% of full-year 2025

H1 financing totals RMB 72.56B, up 41.7% YoY

38 Class 1 innovative drugs approved in H1

11 first-in-class, new-mechanism drugs — all domestically developed

Three numbers that matter

H1 2026 BD out-licensing deal value reached ~\$110 billion (NMPA 口径), already 80% of full-year 2025 and approximately double full-year 2024. Chinese biopharma companies accounted for 8 of the top 10 global pharma deals.

H1 2026 healthcare financing totaled RMB 72.56 billion, up 41.7% year-over-year, with innovative drug financing reaching RMB 18.02 billion in Q1 and RMB 23.74 billion in Q2.

38 Class 1 innovative drugs were approved, including 11 first-in-class, new-mechanism drugs — all domestically developed by Chinese companies. In one year, domestic innovative drugs went from 40% of approvals to 100% — the magnitude of this shift speaks for itself.

What changed this quarter

Biopharma was elevated to a national "emerging pillar industry" for the first time, on par with integrated circuits and aerospace

New drug clinical trial review timeline compressed from 60 working days to **30 working days**

"Medical insurance + commercial insurance" dual catalog mechanism entered substantive implementation

2026 National Essential Drug List included **4 domestically developed Class 1 innovative drugs** for the first time

Part 1: Market Overview

1.1 Total Industry Scale

According to KGI estimates, China's biopharma industry scale exceeded RMB 10 trillion in 2025, reaching RMB 10.03 trillion, of which approximately 56% is concentrated in health and elderly care, with the pharmaceutical industry itself

at approximately RMB 2.64 trillion. The industry is expected to reach RMB 10.66 trillion in 2026, up 6.3% year-over-year.

According to China Commercial Industry Research Institute data, the 2024 China biopharma market size was approximately RMB 2,135.9 billion, up 8.12% year-over-year; 2025 is estimated at RMB 2,242.7 billion; 2026 is projected to reach RMB 2,310.2 billion.

1.2 Innovation Drug Market

China's innovative drug market reached RMB 1.13 trillion in 2024, grew to approximately RMB 1.22 trillion in 2025, and is expected to exceed RMB 1.3 trillion in 2026.

In 2025, the NMPA approved 76 innovative drugs, up 58.3% year-over-year, of which domestic chemical drugs and biologics each accounted for over 80%. In H1 2026, 38 Class 1 innovative drugs were approved, including 11 first-in-class, new-mechanism drugs — **all developed independently by domestic companies.**

1.3 Market Structure

In China's biopharma market, chemical drugs dominate with approximately 47% market share, driven by the scale effect of generics and volume-based procurement policies. Biologics, the fastest-growing segment, account for

approximately 28%, with notable performance in monoclonal antibodies, vaccines, and gene therapy. Traditional Chinese medicine maintains a stable share of approximately 25%, supported by policy and health consumption upgrades.

1.4 CXO Market

According to Frost & Sullivan forecasts, the global and China preclinical CRO markets will reach \$33.25 billion and RMB 52.86 billion respectively in 2026; the global and China clinical CRO markets will reach \$73.20 billion and RMB 59.8 billion respectively.

China's CDMO market growth rate significantly exceeds the global average, projected to reach RMB 137 billion in 2026 and RMB 536.9 billion in 2033.

Part 2: BD & Out-Licensing

2.1 Transaction Volume

In H1 2026, China's innovative drug BD out-licensing deal value reached **~\$110 billion** (NMPA 口径), approximately double full-year 2024 and 80% of full-year 2025.

A total of **81 out-licensing deals** were completed in H1 2026, covering 10 therapeutic areas including oncology, metabolism, immunology, and neurology.

Licensees came from 20 countries and regions including the US, UK, France, and Italy. Total upfront payments reached approximately **\$5 billion**, already accounting for about 70% of full-year 2025.

2.2 Notable Deals (H1 2026)

Company	Partner	Deal Value	Details
CSPC Pharma	AstraZeneca	\$18.5B	8 innovative long-acting peptide drug programs
Hengrui Medicine	BMS	\$15.2B	13 early-stage innovative programs
Innovent Biologics	Pfizer	\$10.5B	12 oncology innovative drug programs
Eli Lilly	Innovent Biologics	\$8.5B	—
Eli Lilly	Haisco Pharma	\$3.05B	—
Hengrui Medicine	BMS	\$0.95B	May new drug license upfront
Dizal Pharma	AstraZeneca	\$0.6B	July small-molecule drug global rights upfront — a record for Chinese small-molecule out-licensing

2.3 Transaction Structure Evolution

BD transactions in 2026 exhibit three notable features:

MNCs are sweeping up Chinese assets at an unprecedented pace. Chinese biopharma companies accounted for 8 of the top 10 global pharma deals. Eli Lilly, BMS, Pfizer, and other MNCs are making concentrated moves — signaling that Chinese innovation assets have shifted from "optional" to "must-have."

Upfront payments continue to hit record highs. Average upfront payments and total deal values reached \$60 million and \$1.06 billion respectively, up 38% and 22% year-over-year.

Deal structures are diversifying. The traditional single-asset licensing model is being supplemented by multi-program "portfolio" deals, Co-Co (co-development and co-commercialization) models, and NewCo structures. In H1, a large number of mature Phase II/III assets and platform technologies secured exclusive global partnerships.

Part 3: Investment & Financing

3.1 Domestic Financing

H1 2026 China healthcare saw 814 financing events totaling RMB 72.56 billion, up 13.8% and 41.7% year-over-year respectively.

Innovative drug financing reached RMB 18.02 billion in Q1 and RMB 23.74 billion in Q2. Among pre-IPO large-ticket financing events, innovative drugs accounted for 65% of total financing, covering antibodies, synthetic peptides, radiopharmaceuticals, cell and gene therapy, and other modalities.